

Storms of Change

The introduction of dematerialization of shares would change the character of the Indian market forever, and for the better, much in the way electronic trading had. It would give another leg-up to the Indian market in its quest to rub shoulders with its global counterparts, eliminate frauds by companies and brokers, improve the efficiency of stock exchange clearing houses, reduce brokerage rates and attract more FIIs.

Many FIIs were reluctant to invest in India because of the problem of fake shares. Companies were as guilty of forging share certificates as the brokers and other market players. Physical share certificates had distinctive numbers. Companies would pledge one set of shares with lenders, borrowing money against them. They would then print another bunch of certificates with the same distinctive numbers, and introduce them in the market through a friendly broker or through one of their own privately owned companies. They could do so, safe in the knowledge that the original set of shares would be in the custody of the lenders so long as there was no default on the interest payments to the lender.

Much to the dismay of those who played the market with forged shares, dematerialized shares were fungible; they did not have any distinctive numbers or specific identification. In fact, it was during the process of dematerialization of shares that many instances of fake shares came to light, which otherwise would have gone unnoticed for a very long time. Many companies had more shares in circulation than were legitimately issued by them. Dematerialization immensely helped reduce the settlement risk and